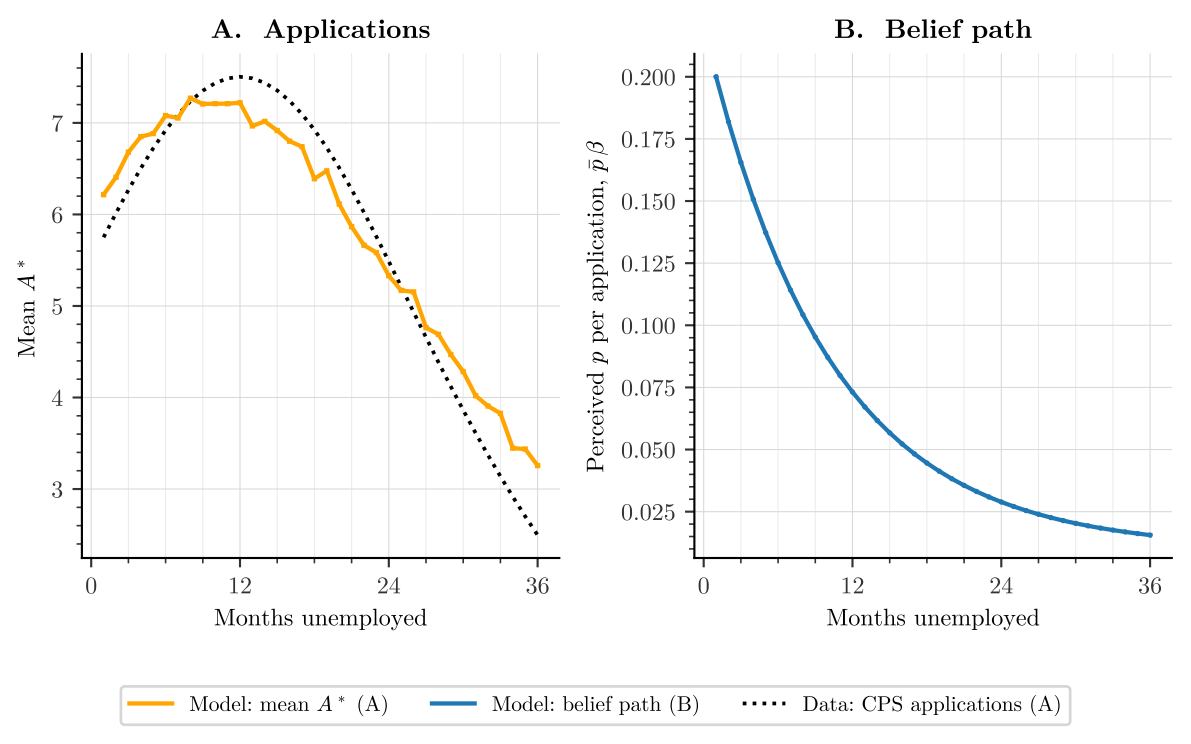
A. Applications
Mean A^*
3
4
5
6
7
0
12
24
36
Months unemployed
B. Belief path
Perceived p per application, $\bar{p}/\beta$
0.200
0.175
0.150
0.125
0.100
0.075
0.050
0.025
0
12
24
36
Months unemployed
Model: mean A^* (A)
Model: belief path (B)
Data: CPS applications (A)